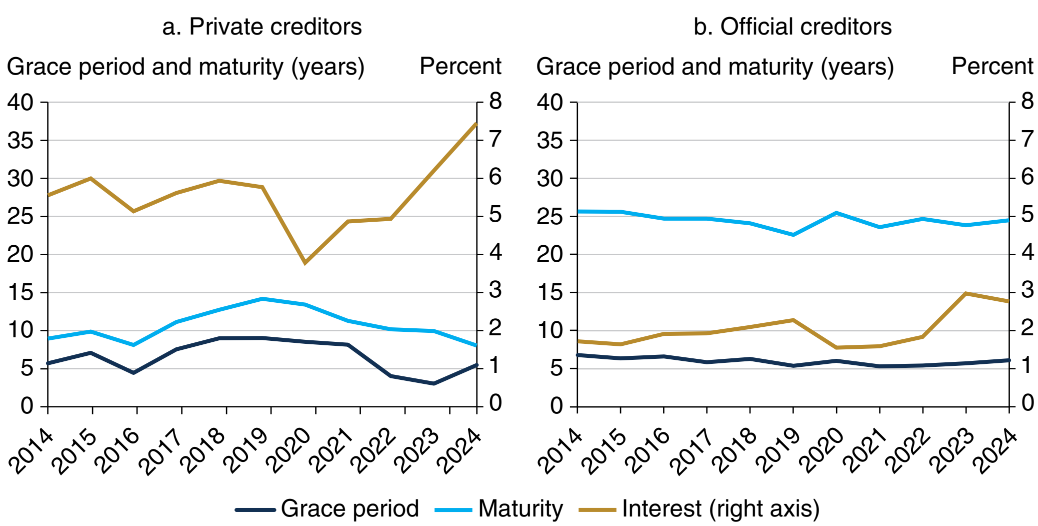
and a portion was also issued in local currency of Uzbek som. In 2024, Nigeria and Kenya also returned to international markets after one- and two-year pauses, respectively. Nigeria successfully raised US$2.2 billion in Eurobonds to help fund its budget deficit; Kenya issued a US$1.5 billion Eurobond to partially pay back its maturing 2024 bond. Both countries' issuances were at higher interest rates than in the past, with Nigeria's tranches issued at 9.625 and 10.375 percent, respectively, and Kenya's issuance recording a high coupon rate of 9.75 percent. Benin, Dominica, Eswatini, Honduras, and Senegal were the other IDA-eligible countries accessing international markets in 2024.

New external loan commitments to public sector entities in IDA-eligible countries totaled US$74.9 billion in 2024, 16.1 percent lower than the comparable 2023 figure. New commitments from official creditors, which offer loans on concessional terms or more favorable terms than the market, decreased 32 percent to US$52.6 billion. The average interest rate on new commitments from this creditor base decreased slightly to 2.78 percent in 2024, and the average maturity increased by one year to an average of 25 years (figure 1.16). Meanwhile, new external commitments to public sector entities from private creditors, bonds, and syndicated commercial bank loans almost doubled in 2024, to US$22.3 billion. Overall, they accounted for 30 percent of the total new commitments to public entity borrowers. Financing from this creditor base is more costly and of shorter maturity than that provided by official creditors. The average interest rate of new financing from private creditors increased 1.24 percentage points in 2024, to 7.45 percent, and the average maturity was shortened by two years, to an average

Figure 1.16 Average Terms on New External Debt Commitments for IDA-Eligible Countries, by Creditor Type, 2014–24



Source: World Bank International Debt Statistics database.

of eight years. Extended borrowing from this creditor group underscores debt sustainability concerns for IDA-eligible countries given that the terms of these obligations have on average become more costly to finance.

The cost of servicing debt recorded an all-time high for the second year in a row for IDA-eligible countries. Total debt service payments (interest plus principal) increased 16.5 percent in 2024, to US$118.1 billion. Interest payments accounted for 33.5 percent of these payments, also at an all-time high of US$39.5 billion (a 10.5 percent increase); principal payments accounted for 66.5 percent of the payments, recording an all-time high of US$78.5 billion (a 19.8 percent increase from the previous year).

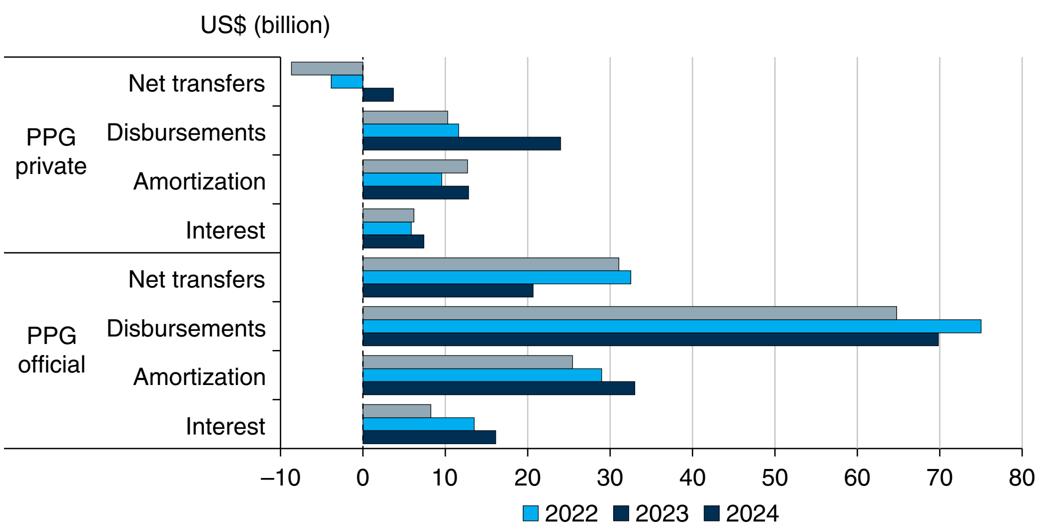
The principal repayment, driven by both PPG and PNG borrowers, increased 18.9 percent to US$45.8 billion and by 21.0 percent to US$32.7 billion, respectively, in 2024. PPG bond principal repayments increased from US$1.9 billion to US$5.9 billion in 2024. Kenya's US$2 billion bond repayment in 2024 accounted for 34 percent of these payments. PPG borrowers' principal repayments to commercial banks and other private creditors decreased 10.2 percent in 2024, to US$6.9 billion. Principal repayments to PPG borrowing from official creditors increased 14 percent in 2024, with bilateral creditors receiving US$14.0 billion of these payments, a 1.1 percent increase, and multilateral creditors receiving US$19 billion, a 25.8 percent increase.

As interest rates remained elevated in 2024, the cost of financing existing and new obligations negatively affected IDA-eligible borrowers. The increase in total interest payments on external debt obligations was driven by increases in borrowing by the PPG sector, which rose 21.4 percent to US$23.6 billion. The biggest volume of interest payments went from PPG borrowers to multilateral creditors, at US$10.6 billion in 2024, reflecting the significant increases in lending by the World Bank's IDA during the pandemic when other creditors were retreating; however, the interest rate paid to this lender was a modest 1.1 percent in 2024, compared with a much larger average of 8.2 percent for bondholders. Consequently, interest payments to private creditors also affected the increase in overall PPG interest payments. Interest payments to bondholders, which accounted for 22 percent of the payments, increased 23.1 percent in 2024 to US$5.1 billion, and interest payments to commercial banks and other private creditors increased 33 percent to US$2.3 billion.

Among IDA-eligible countries, net debt transfers to PPG borrowers decreased 14.9 percent, to US$24.4 billion in 2024. The overall increase in debt service payments and decrease in new disbursements led to a decrease in official net transfers to PPG borrowers of IDA-eligible countries in 2024. Net transfers from this creditor base remained positive at US$20.7 billion but decreased 36.4 percent from the previous year (figure 1.17). Conversely, net transfers from private creditors to PPG borrowers reversed from a net outflow of US$3.8 billion to a net inflow of US$3.7 billion in 2024. This reversal was driven by a more than twofold increase in new disbursements from this creditor base, which increased at a much faster pace than total debt service payments.

Total debt service of IDA-eligible countries, measured relative to GNI and export earnings, deteriorated in 2024. The 16.5 percent growth in total debt service payments to US$118.1 billion outpaced the 7.7 percent increase in export earnings to US$656.3 billion, and 1.2 percent growth in GNI to US$2.8 trillion. Consequently, the ratio of total debt service to GNI increased to 4.2 percent, compared to 3.7 percent the previous year, and the ratio of total debt service to export earnings increased 1.4 percentage points to 18 percent. Because the cost of servicing total debt remains large, countries eligible for IDA support face growing challenges of fiscal space for shock absorption and financing of development needs. Haiti, the Lao People's Democratic Republic, Mozambique, Pakistan, Papua New Guinea, and Senegal had the largest total debt service-to-export ratios in 2024; Mozambique, Papua New Guinea, Suriname, and Zambia had the largest total debt service-to-GNI ratios.

Figure 1.17 Net Transfers on Public and Publicly Guaranteed Debt in IDA-Eligible Countries, by Creditor Type, 2022–24



Source: World Bank International Debt Statistics database.
Note: IDA = International Development Association; PPG = public and publicly guaranteed.

Regional Perspectives

EAST ASIA AND PACIFIC

Net debt inflows to the region increased to US$9.9 billion in 2024 (table 1.3), driven by a combined improvement in China's net long-term debt outflows to US$38 billion and a 159.7 percent increase in net debt flows of the region's other countries to US$29.4 billion.

China, the largest borrower among LMICs, accounted for 71 percent of the combined end-2024 external debt of countries in the East Asia and Pacific (EAP) region. China's external debt stock fell a further 1.1 percent in 2024 to US$2.42 trillion. In other countries in the region, external debt stock rose on

Table 1.3 External Debt Stock and Net Financial Flows and Transfers, East Asia and Pacific, 2014–24

US$ (billion)

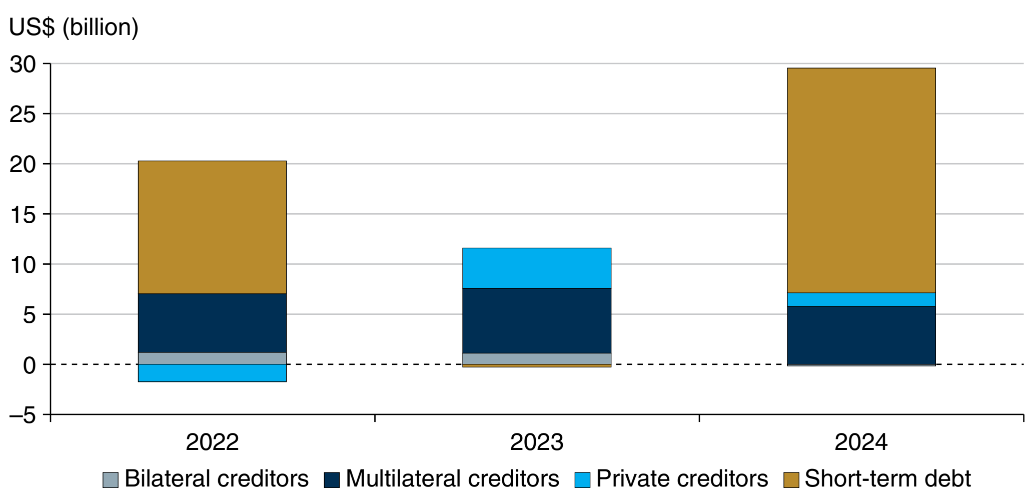
	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
External debt stocks	**2,444.8**	**2,004.5**	**2,111.8**	**2,489.0**	**2,798.1**	**2,993.0**	**3,263.9**	**3,697.0**	**3,496.6**	**3,416.7**	**3,409.4**
as % of GNI	19.4	15.2	15.7	16.9	17.0	17.6	18.9	17.9	16.7	16.2	15.7
Net debt inflows	**288.5**	**–374.8**	**47.0**	**396.2**	**340.8**	**186.2**	**260.5**	**394.9**	**–158.7**	**–71.1**	**9.9**
Official creditors	4.8	3.9	1.0	1.0	4.3	2.1	14.5	7.1	5.5	6.2	3.1
Bilateral	2.2	–1.9	–2.9	–2.8	–1.0	–2.9	1.8	–0.6	0.0	0.5	–0.4
Multilateral	2.6	5.8	3.8	3.8	5.3	5.0	12.7	7.7	5.5	5.7	3.5
Private creditors	124.9	62.0	61.1	137.3	152.5	196.6	203.4	247.9	–75.5	–99.2	–34.1
Long-term	129.7	65.9	62.1	138.2	156.9	198.7	217.9	255.0	–70.0	–93.0	–31.0
Public and publicly guaranteed	41.1	21.4	26.5	66.1	98.6	85.9	91.0	175.1	–17.6	–33.0	39.8
Private nonguaranteed	88.6	44.4	35.5	72.1	58.3	112.9	126.9	79.9	–52.4	–60.1	–70.8
Short-term	158.8	–440.6	–15.1	258.0	183.9	–12.6	42.6	139.9	–88.7	21.9	40.9
Net debt transfers	**228.8**	**–444.6**	**–9.5**	**312.2**	**234.9**	**64.8**	**143.5**	**264.9**	**–289.8**	**–243.8**	**–156.1**
Official creditors	1.0	0.1	–2.7	–2.9	–0.2	–3.5	10.4	4.2	1.1	–3.9	–8.1
Bilateral	–0.2	–4.4	–5.0	–4.7	–3.0	–5.1	0.1	–2.0	–1.4	–0.9	–1.9
Multilateral	1.3	4.6	2.3	1.8	2.8	1.7	10.4	6.2	2.5	–3.0	–6.2
Private creditors	29.5	9.6	16.9	54.6	80.5	66.5	57.3	142.2	–53.5	–73.0	11.4
Long-term	105.2	31.0	33.0	102.9	109.1	140.5	164.7	190.9	–138.3	–174.6	–104.8
Public and publicly guaranteed	30.5	9.7	14.1	51.8	80.3	63.0	67.7	146.4	–52.4	–76.8	3.3
Private nonguaranteed	74.7	21.3	18.9	51.2	28.9	77.5	97.0	44.6	–85.9	–97.7	–108.1

Source: World Bank International Debt Statistics database.
Note: GNI = gross national income.

average 2.1 percent to US$989.5 billion. The long-term debt stock in other EAP countries declined marginally, but short-term debt rose 12.7 percent to US$201.7 billion, driven by a 29.1 percent rise in Indonesia's short-term debt to US$65.1 billion, equivalent to 15.5 percent of the country's end-2024 external debt stock. The sharp jump reflects the Bank of Indonesia's issuance of short-term securities (Bank Indonesia Rupiah Securities or SRBI) introduced in August 2023 as a measure to support monetary policy, defend the value of the rupiah during periods of market volatility, and attract foreign capital. These securities are issued with variable interest rates at 6-, 9-, and 12-month tenors and offered to domestic and nonresident investors.

Net debt inflows to the EAP region totaled US$9.9 billion in 2024, a sharp reversal from the net outflow of US$71.1 billion recorded in 2023. The turnaround was driven by a sharp increase in inflows to the Chinese bond markets from nonresident investors and borrowing from other private creditors by Chinese public and private sector entities. Consequently, net long-term outflows from China fell to US$38 billion in 2024 from US$104.6 billion in 2023. Excluding China, net debt inflows to the region were US$29.4 billion in 2024, 159.7 percent higher than the US$11.3 billion recorded in 2023 (figure 1.18). Close to half of the 2024 inflows were short-term debt inflows to Indonesia, which rose to US$14.3 billion, from an average of US$1.6 billion in 2022 and 2023. Long-term debt inflows fell 39.9 percent to US$7 billion in 2024 because of a 66.3 percent fall in net inflows from private creditors, to US$1.4 billion. Inflows from official creditors (US$5.6 billion) accounted for 80.6 percent of net long-term inflows to the EAP region in 2024 and were all from multilateral creditors.

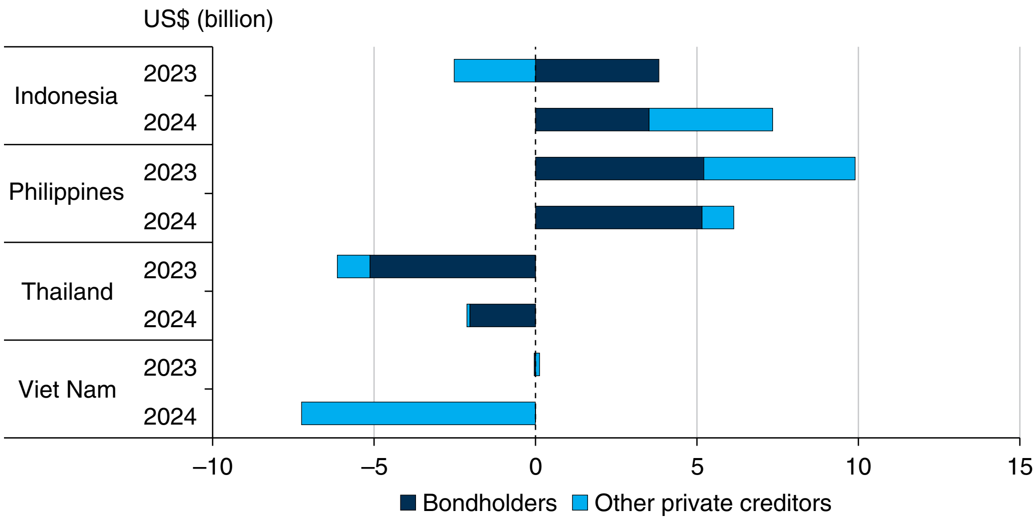
Figure 1.18 Net Debt Flows for East Asia and Pacific Countries (Excluding China), by Creditor Type, 2022–24



Source: World Bank International Debt Statistics database.

The sharp 66.3 percent fall in net long-term debt inflows from private creditors to the region in 2024, excluding China, masked divergent trends in inflows from bondholders and other private creditors in aggregate and for individual countries. Net inflows from bondholders more than doubled in 2024 to US$6.8 billion from US$3.2 billion in 2023, with inflows to the Philippines and Indonesia, the largest recipients, of US$5.2 billion and US$3.5 billion, respectively, offset by outflows of US$2 billion to Thailand (figure 1.19). In contrast to bonds, flows from other private creditors registered an outflow of US$5.5 billion in 2024 compared to an inflow of US$0.8 billion in 2023. This turnaround was largely explained by Viet Nam, which recorded outflows from other private creditors of US$7.2 billion in 2024. The Philippines also recorded a sharp contraction in inflows from private creditors in 2024, but these inflows remained positive at US$985 million, down from US$4.7 billion in 2023. In Indonesia, inflows from other private creditors of US$3.8 billion in 2024 were in marked contrast to outflows of US$2.5 billion in 2023.

Figure 1.19 Net Long-Term Debt Inflows from Private Creditors to Select East Asia and Pacific Countries, 2023 and 2024



Source: World Bank International Debt Statistics database.

EUROPE AND CENTRAL ASIA

Net debt flows recorded an inflow of US$53.1 billion, a 38 percent drop from the previous year, whereas net transfers turned into a US$91.3 million outflow in 2024 (table 1.4).

Short-term debt flows in the Europe and Central Asia (ECA) region decreased by a factor of seven in 2024, to US$4.5 billion, and long-term debt flows decreased by 10 percent to US$48.6 billion. Much of this shift was attributable to ECA's largest borrower, Türkiye, which accounted for 44 percent of the region's total outstanding external debt and where net short-term debt flows plunged 87.9 percent to US$3.3 billion in 2024. The decrease was the result of a milestone liability management transaction, involving the swap of short-term treasury bonds for a new 10-year bond issuance of US$3.5 billion. Net short-term debt

Table 1.4 External Debt Stock and Net Financial Flows and Transfers, Europe and Central Asia, 2014–24

US$ (billion)

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
External debt stocks	**883.6**	**854.1**	**866.7**	**933.9**	**913.2**	**926.7**	**980.5**	**1,003.7**	**1,040.8**	**1,135.8**	**1,169.3**
as % of GNI	52.2	57.4	61.0	63.9	63.9	63.5	69.4	61.9	58.4	54.3	49.2
Net debt inflows	**34.7**	**−43.2**	**19.3**	**58.4**	**−3.9**	**13.2**	**40.7**	**19.7**	**47.1**	**85.6**	**53.1**
Official creditors	10.5	12.4	8.3	8.2	3.3	1.0	7.6	5.0	24.2	30.8	33.9
Bilateral	4.9	2.6	2.9	3.9	2.2	2.3	0.1	0.9	4.8	1.1	5.7
Multilateral	5.6	9.8	5.4	4.3	1.1	−1.3	7.5	4.1	19.4	29.8	28.3
Private creditors	39.6	−8.4	25.8	28.5	9.1	5.5	15.1	4.2	−11.2	23.2	14.7
Long-term	50.2	4.0	34.2	36.7	12.4	6.5	22.7	9.2	13.0	54.0	48.6
Public and publicly guaranteed	19.3	19.2	15.0	15.1	10.5	12.4	21.8	16.9	23.6	39.3	45.2
Private nonguaranteed	30.8	−15.2	19.2	21.6	1.9	−6.0	0.9	−7.6	−10.6	14.7	3.4
Short-term	−15.5	−47.2	−14.9	21.7	−16.4	6.7	18.1	10.4	34.1	31.7	4.5
Net debt transfers	**3.6**	**−70.2**	**−6.9**	**28.5**	**−33.2**	**−18.1**	**9.5**	**−11.6**	**12.8**	**40.0**	**−0.1**
Official creditors	8.1	10.0	5.6	5.0	−0.3	−3.1	4.1	1.9	20.5	23.1	24.6
Bilateral	3.9	1.6	1.7	2.6	0.8	0.7	−1.5	−0.6	3.3	−1.0	3.5
Multilateral	4.2	8.4	3.9	2.4	−1.0	−3.7	5.5	2.5	17.1	24.1	21.1
Private creditors	1.8	0.1	−0.5	−0.7	−0.5	2.5	4.7	1.6	−10.1	−1.6	−0.3
Long-term	27.4	−18.5	12.1	13.0	−11.3	−19.4	−3.2	−16.7	−13.0	19.5	6.6
Public and publicly guaranteed	9.9	10.1	5.1	4.3	−0.8	−0.6	8.8	3.4	10.4	21.5	24.3
Private nonguaranteed	17.5	−28.6	7.0	8.7	−10.5	−18.7	−12.0	−20.1	−23.4	−2.0	−17.7

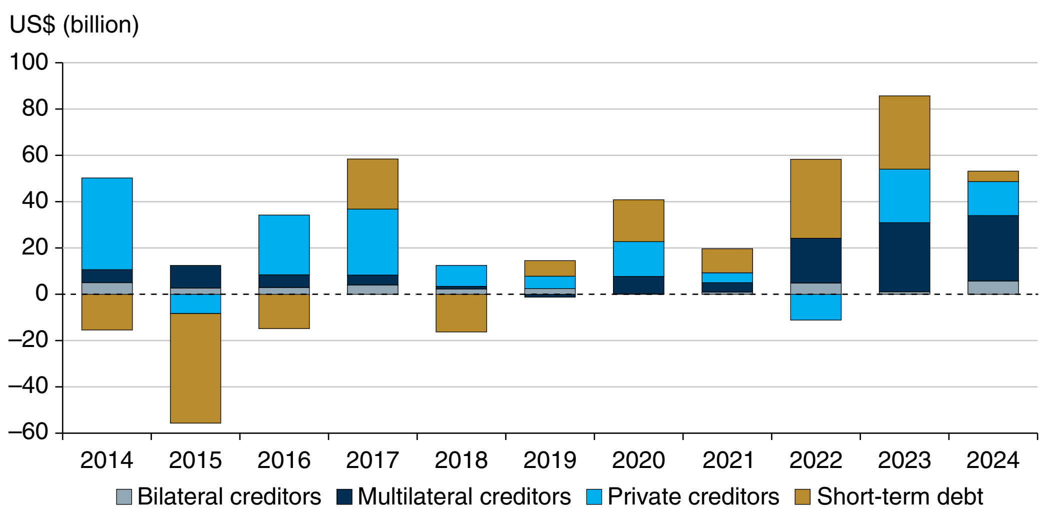
Source: World Bank International Debt Statistics database.
Note: GNI = gross national income.

flows also fell in Uzbekistan, where they reversed from an inflow of US$657.6 million to an outflow of US$1.2 billion in 2024.

Long-term net flows to public sector borrowers increased 15.2 percent in 2024, to US$45.2 billion, reflecting increased multilateral support for Ukraine and increases in debt flows from bilateral creditors and bondholders. Net flows from multilateral creditors to public sector entities in the region decreased 7.6 percent to US$25.9 billion in 2024 but remained the largest source of inflows at 58 percent of long-term obligations (figure 1.20). Ukraine accounted for most of these net inflows, equivalent to 89.8 percent of multilateral net inflows. Multilateral financial support for Ukraine has reached unprecedented levels since the start of its invasion by the Russian Federation in February 2022. The European Union has provided a cumulative US$41.7 billion in disbursements of new financing during the 2022–24 period, followed by the World Bank (IBRD and IDA combined support) at US$17.7 billion, and the IMF at US$12.5 billion. During this period, the World Bank Group has offered a range of financial instruments and support to help the government of Ukraine sustain essential public services, rebuild critical infrastructure, and support the private sector, such as through trust funds, financial intermediaries, guarantees, co- and parallel financing, and other financial instruments.[3]

After being hit hard by the COVID-19 pandemic and its aftermath, ECA saw strong recovery of bond issuance by public and private sectors in 2024. Bondholders were the second largest positive contributors to long-term net flows in the region, increasing more than threefold to US$18.4 billion in 2024, and

Figure 1.20 Net Debt Flows to Europe and Central Asia, by Creditor Type, 2014–24

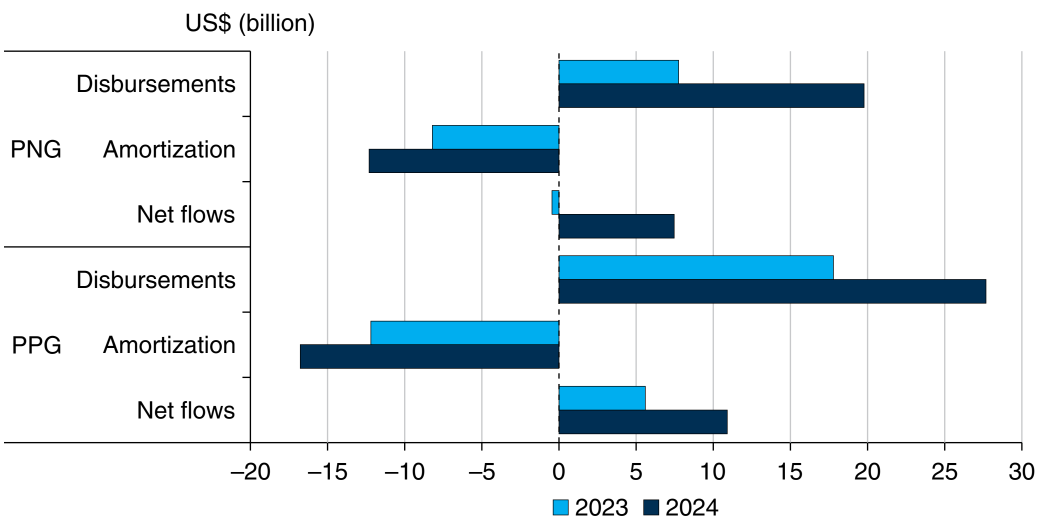


Source: World Bank International Debt Statistics database.

accounting for 37.8 percent of the region's long-term inflows. The increase was driven by new bond issuances from both public sector borrowers, which increased 55.6 percent to US$27.7 billion in 2024, and issuances from PNG borrowers, which more than doubled to US$19.8 billion (figure 1.21). Türkiye was ECA's largest new issuer, recording a 43.9 percent increase to US$19.8 billion in 2024 from public sector borrowers and an almost threefold increase to US$16.6 billion from PNG borrowers. Türkiye's 2024 new bond issuances included the country's first ever blue and green bond package, and a milestone maturity swap operation of short-term bonds for the new 10-year, US$3.5 billion issuance.

The region also had the sharpest increase among all regions in net debt flows from official creditors, up nearly 10.1 percent to US$33.9 billion. This rise occurred in large part because of the increase in bilateral creditors, which rose fivefold to US$5.7 billion. The principal driver was Türkiye, where disbursements almost doubled in 2024 to US$4.1 billion and principal repayments from maturing obligations decreased 71.5 percent to US$686.3 million.

Figure 1.21 Bond Flows to Europe and Central Asia, by Borrower Type, 2023 and 2024



Source: World Bank International Debt Statistics database.
Note: PNG = private nonguaranteed; PPG = public and publicly guaranteed.

LATIN AMERICA AND THE CARIBBEAN

Net debt flows fell 70.5 percent in 2024, to US$19.4 billion, the lowest level since 2007, as net debt transfers plunged to an outflow of US$78.0 billion in 2024 (table 1.5).

At the creditor level in Latin America and the Caribbean (LAC), the decline of long-term net debt flows was most pronounced in public sector borrowing from bondholders, which nearly halved to US$12.9 billion in 2024, and public and private sector borrowing from commercial banks and other private creditors, which decreased 82.1 percent to US$2.1 billion (figure 1.22). Mexico was the primary driver of the decline in public sector borrowing from bondholders,

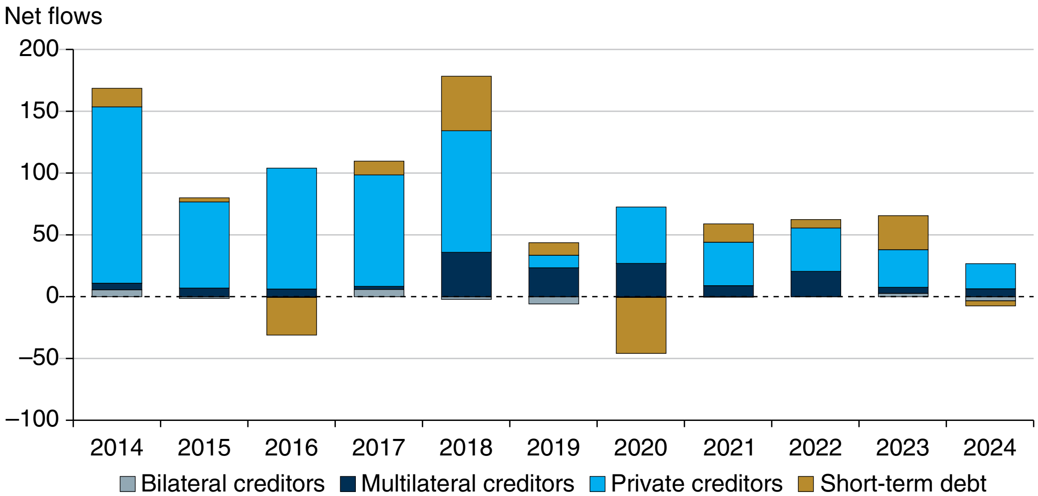
Table 1.5 External Debt Stock and Net Financial Flows and Transfers, Latin America and the Caribbean, 2014–24

US$ (billion)

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
External debt stocks	**1,579.1**	**1,599.5**	**1,632.9**	**1,728.2**	**1,837.1**	**1,879.7**	**1,878.6**	**1,922.1**	**1,942.1**	**2,007.3**	**2,000.4**
as % of GNI	30.4	36.4	38.5	36.5	40.2	41.8	49.7	44.0	38.6	35.4	34.5
Net debt inflows	**168.5**	**78.6**	**72.8**	**109.6**	**176.3**	**37.6**	**26.7**	**58.5**	**62.4**	**65.5**	**19.4**
Official creditors	10.8	5.6	5.5	8.3	33.7	17.4	26.4	8.5	20.3	7.6	2.9
Bilateral	5.6	−1.4	−0.6	5.8	−2.1	−6.0	−0.6	−0.4	0.0	2.6	−3.3
Multilateral	5.2	7.0	6.1	2.4	35.8	23.4	26.9	8.9	20.3	5.0	6.3
Private creditors	142.7	69.5	97.9	90.2	98.5	10.1	45.6	35.1	35.2	30.4	20.4
Long-term	153.5	75.2	103.3	98.4	132.2	27.5	72.0	43.6	55.5	38.0	23.4
Public and publicly guaranteed	92.9	37.5	67.0	60.1	82.3	25.9	72.6	15.3	35.5	23.6	20.3
Private nonguaranteed	60.6	37.6	36.3	38.3	49.9	1.6	−0.7	28.3	20.0	14.4	3.1
Short-term	15.0	3.4	−30.6	11.2	44.1	10.1	−45.3	15.0	6.9	27.5	−4.0
Net debt transfers	**114.9**	**19.3**	**2.2**	**32.0**	**96.5**	**−49.5**	**−41.7**	**−19.2**	**−6.0**	**−30.9**	**−78.0**
Official creditors	6.0	0.8	−0.1	2.1	27.1	8.0	19.1	1.6	11.5	−9.8	−16.9
Bilateral	4.0	−3.1	−2.4	3.9	−3.7	−7.8	−1.7	−2.1	−1.3	1.3	−5.1
Multilateral	2.0	3.9	2.3	−1.8	30.8	15.7	20.8	3.7	12.7	−11.1	−11.7
Private creditors	58.9	3.6	28.5	10.7	12.0	−32.4	15.4	−24.8	−12.0	−14.1	−16.1
Long-term	104.1	20.2	37.5	26.3	60.0	−51.5	8.5	−29.0	−4.5	−44.8	−61.3
Public and publicly guaranteed	64.9	4.4	28.4	12.8	39.1	−24.4	34.6	−23.2	−0.5	−23.9	−33.0
Private nonguaranteed	39.2	15.8	9.1	13.5	20.9	−27.0	−26.1	−5.9	−4.0	−20.9	−28.3

Source: World Bank International Debt Statistics database.
Note: GNI = gross national income.

Figure 1.22 Net Debt Flows to Latin America and the Caribbean, by Creditor Type, 2014–24



Source: World Bank International Debt Statistics database.

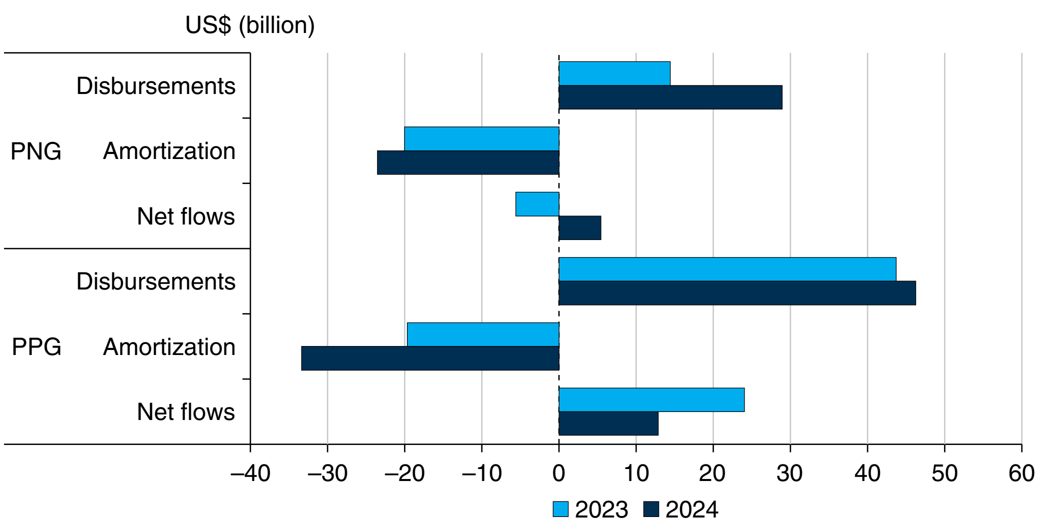
which despite a strong issuance start in January 2024 saw disbursements of new financing almost halved to US$13.3 billion in 2024; maturing obligations raised principal payments by almost fourfold to US$18.1 billion. The decrease in borrowing from commercial banks and other private creditors was driven by Brazil, which recorded a drop in new disbursements by more than a factor of three, from a high of US$191.7 billion to US$60.1 billion in 2024. Principal repayments to the country also decreased, by a smaller volume, to US$73.7 billion.

Net debt flows of private sector borrowers from bondholders in the LAC region bounced back in 2024, reversing from an outflow of US$5.6 billion to an inflow of US$5.4 billion (figure 1.23). Disbursements from new financing more than doubled in 2024, outpacing the 17.5 percent increase in principal repayments, driven by net debt flows improvements in Brazil, Mexico, and Peru. Multilateral creditors were the only other category of creditors to post an increase in 2024, up 26 percent over the 2023 level. Most of the increase was attributable to the World Bank's IBRD and the Inter-American Development Bank. With regard to bilateral creditors, 2024 marked a sharp reversal of the upward trajectory of flows observed in 2023, instead registering an outflow of US$3.3 billion.

The LAC region recorded the second largest interest payments on total external debt obligations in 2024, at US$97.3 billion, second only to the EAP region at US$166.0 billion, and the overall largest interest payments made by public sector borrowers. The LAC region also accounted for the largest total payments of any region, when China is excluded from the EAP region. Whereas interest payments from private nonguaranteed borrowers in the region declined 11.6 percent to US$31.3 billion in 2024, public sector entities paid 12.4 percent more than they did in 2023, at US$53.2 billion. The largest payments were made by public sector borrowers in Argentina, Brazil, and Mexico, which together accounted for 65.4 percent of interest payments in the region made by this borrower base.

The region's creditors received an all-time high of US$78.0 billion more in debt service payments than they disbursed in new financing in 2024. Net transfers to public and private sector entities continued to deteriorate in 2024, recording net outflows for the fourth year in a row because of the combined effect of decreasing net flows to the region and large and increasing interest payments for public sector borrowers. Brazil recorded the largest net outflow in net transfers of US$27.5 billion in 2024, accounting for 35.3 percent of the region's outflows. The 2024 increase in outflows was driven by borrowing by the PNG sector from private creditors, through the combined effect of a 76.5 percent decrease in new disbursements to US$44.2 billion, the lowest since 2008 financial crisis, and a 69.7 percent decrease in principal repayments to US$52.7 billion. Mexico and Argentina recorded the region's next largest outflows in net transfers at US$20 billion and US$16 billion, respectively.

Figure 1.23 Bond Flows to Latin America and the Caribbean, by Borrower Type, 2023 and 2024



Source: World Bank International Debt Statistics database.
Note: PNG = private nonguaranteed; PPG = public and publicly guaranteed.

MIDDLE EAST, NORTH AFRICA, AFGHANISTAN, AND PAKISTAN

Note: In June 2025 the World Bank reclassified Afghanistan and Pakistan from its South Asia region to the Middle East, North Africa, Afghanistan, and Pakistan region.

Net debt flows reversed to an outflow of US$4.1 billion in 2024, from an inflow of US$11.9 billion the previous year, the lowest level since the 2008 financial crisis (table 1.6). Net debt transfers plunged even more, to an outflow of US$29.0 billion in 2024.

Net debt flows to the Middle East, North Africa, Afghanistan, and Pakistan region turned negative in 2024, from an inflow of US$11.9 billion in 2023 to an outflow of US$4.1 billion. These flows were heavily concentrated in Egypt,

Table 1.6 External Debt Stock and Net Financial Flows and Transfers, Middle East, North Africa, Afghanistan, and Pakistan, 2014–24

US$ (billion)

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
External debt stocks	**310.8**	**331.0**	**368.9**	**424.4**	**453.0**	**482.6**	**520.2**	**556.6**	**563.1**	**578.7**	**561.2**
as % of GNI	17.0	19.5	21.1	24.2	25.9	28.3	33.3	30.3	27.6	29.7	27.3
Net debt inflows	**17.3**	**29.0**	**40.5**	**42.0**	**31.7**	**31.2**	**25.7**	**25.0**	**17.2**	**11.9**	**–4.1**
Official creditors	4.7	13.6	23.7	16.2	13.2	16.0	22.6	6.1	7.6	5.5	–2.0
Bilateral	0.5	5.2	9.4	6.6	8.9	5.6	2.5	1.2	0.4	3.9	–3.7
Multilateral	4.2	8.3	14.3	9.6	4.3	10.4	20.1	4.9	7.2	1.6	1.6
Private creditors	7.9	13.1	4.9	23.2	24.4	8.8	1.3	9.5	–9.4	4.5	–3.6
Long-term	12.6	26.7	28.6	39.4	37.6	24.7	23.9	15.6	–1.7	10.0	–5.7
Public and publicly guaranteed	10.2	23.0	24.7	33.0	28.9	25.8	33.0	19.6	1.2	11.0	–6.5
Private nonguaranteed	2.4	3.7	3.9	6.5	8.7	–1.0	–9.1	–3.9	–3.0	–1.0	0.9
Short-term	4.8	2.3	11.9	2.6	–5.9	6.5	1.8	9.4	19.0	1.9	1.5
Net debt transfers	**10.4**	**21.6**	**31.7**	**31.6**	**18.2**	**16.2**	**14.3**	**13.6**	**0.8**	**–12.1**	**–29.0**
Official creditors	1.9	10.9	20.8	12.7	8.6	10.2	17.6	1.5	1.5	–5.1	–13.7
Bilateral	–1.1	3.8	7.8	4.8	6.5	2.7	0.0	–1.0	–2.4	0.6	–7.4
Multilateral	2.9	7.1	13.0	7.9	2.1	7.6	17.6	2.5	3.9	–5.6	–6.3
Private creditors	2.6	6.4	–2.5	12.9	10.7	4.1	6.5	9.0	–11.3	–0.0	–10.4
Long-term	6.3	20.1	21.1	30.6	25.7	11.3	13.9	5.4	–14.5	–8.5	–25.4
Public and publicly guaranteed	4.5	17.3	18.4	25.6	19.3	14.4	24.2	10.4	–9.8	–5.1	–24.1
Private nonguaranteed	1.8	2.8	2.8	5.0	6.4	–3.0	–10.3	–5.0	–4.6	–3.4	–1.3

Source: World Bank International Debt Statistics database.
Note: GNI = gross national income.

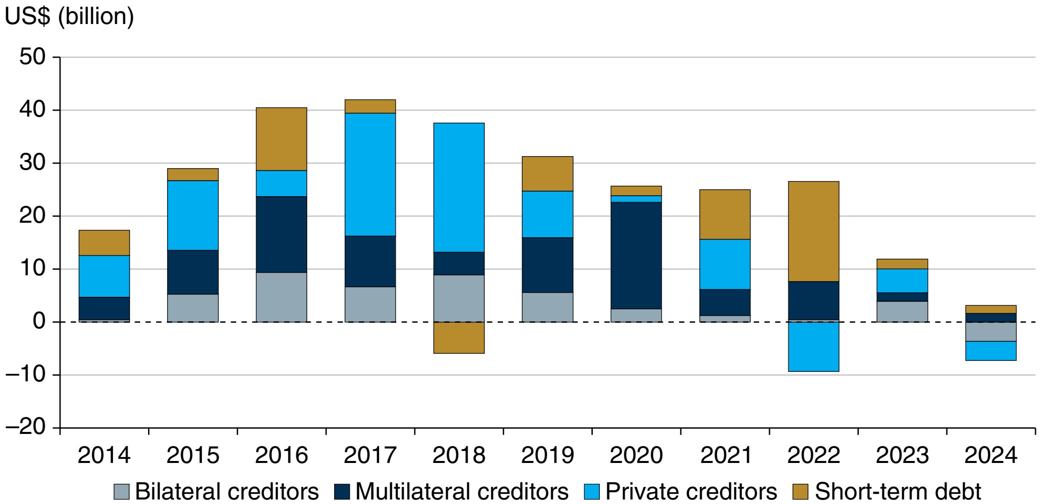
where net flows reversed from an inflow of US$5.2 billion to an outflow of US$3.4 billion in 2024, followed by Pakistan, where net flows decreased by more than a factor of 10 to US$354.4 million. Morocco and Tunisia also recorded significant drops in their net debt inflows, to US$206.5 million and an outflow of US$867.9 million, respectively. However, despite the drop, the pattern of financial instruments and debt composition used across countries diverged widely.

Net debt flows from bilateral creditors turned negative for the first time since 2011, from an inflow of US$3.9 billion to an outflow of US$3.7 billion (figure 1.24). Net bilateral debt flows to Pakistan and Iraq drove the trend, led by reductions of more than 75 percent in disbursements from new financing to US$1.5 billion and US$320.7 million, respectively. Egypt's debt-swap agreement did not affect the country's net flows; consequently, it also did not affect the region's net flows operations from bilateral creditors, which measure the provision of new financing minus repayments during that period. Multilateral creditors were the only creditor base that provided positive flows to public sector borrowers in 2024. Most of the region's increase was attributable to the World Bank's IBRD. At the country level, increases were largest in Tunisia, Jordan, and Pakistan (primarily because of the 2024 IMF disbursement), but they were offset by Egypt's surge in principal repayments, primarily to the IMF.

Bond issuance by public and private sector borrowers in the region fell sharply in 2024, to US$3.0 billion. Most of the issuance in the region is incurred by public sector borrowers (figure 1.25). In May 2024, Morocco's OCP Group issued a US$2 billion Eurobond to finance green investments, structured in two tranches—a US$1.25 billion tranche of 10-year maturity and a US$750 million tranche of 30-year maturity—with corresponding interest rates of 6.75 percent and 7.5 percent, respectively. The combined effect of a decline in new issuance and a marked increase in the share of maturing bonds reduced the net flow to public sector borrowers to an outflow of US$2.3 billion from an inflow of US$4.2 billion in 2023. Egypt, Pakistan, and Tunisia accounted for 80 percent of these principal payments.

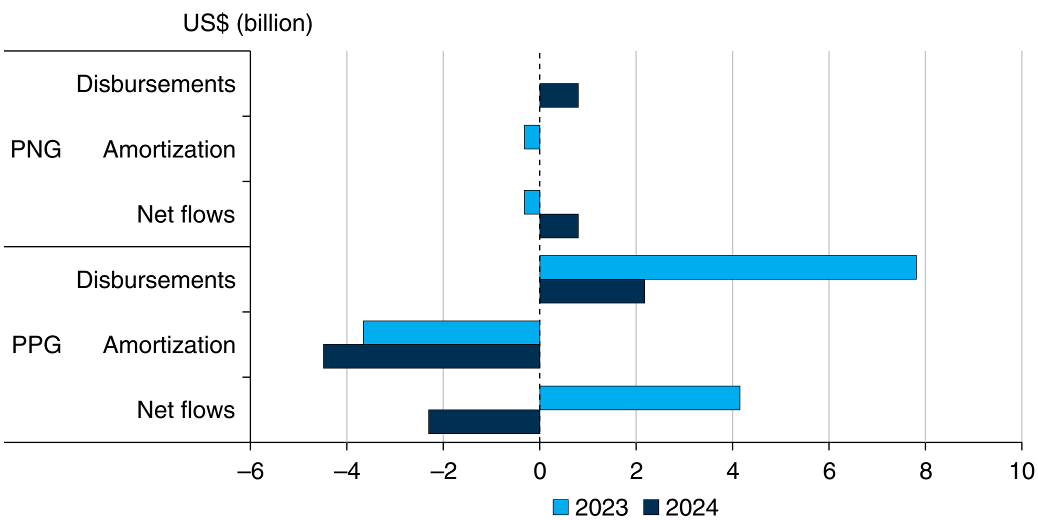
As the cost of servicing debt has increased in the region, the ratio of total debt service payments to GNI and export revenues increased in 2024 to 3.7 percent and 13.7 percent, respectively. The increased cost of servicing debt caused net transfers in the region to turn even more negative in 2024, from an outflow of US$12.1 billion to an outflow of US$29 billion. Remarkably, net transfers from all creditor bases in 2024 registered an outflow for the region.

Figure 1.24 Net Debt Flows to the Middle East, North Africa, Afghanistan, and Pakistan, by Creditor Type, 2014–24



Source: World Bank International Debt Statistics database.

Figure 1.25 Bond Flows to the Middle East, North Africa, Afghanistan, and Pakistan, by Borrower Type, 2023 and 2024



Source: World Bank International Debt Statistics database.
Note: PNG = private nonguaranteed; PPG = public and publicly guaranteed.

SOUTH ASIA

Net debt inflows rose 106 percent in 2024 to US$83.5 billion (table 1.7), the highest level of the decade, driven by the almost 100 percent increase in net long-term inflows from private creditors to US$57.5 billion, directed entirely to India.

The external debt stock of countries in the region rose on average 8.4 percent in 2024 to US$896 billion, a much faster pace of accumulation than the 5 percent increase recorded in 2023. This rise in external debt stock, the largest of any region in 2024, was driven by a 10.6 percent increase in India, which accounts for 80 percent of the region's external debt stock. For other countries in the region, the combined external debt stock at end-2024, US$179.6 billion, was broadly unchanged from the prior year. For India, 2024 was marked by a significant

Table 1.7 External Debt Stock and Net Financial Flows and Transfers, South Asia, 2014–24

US$ (billion)

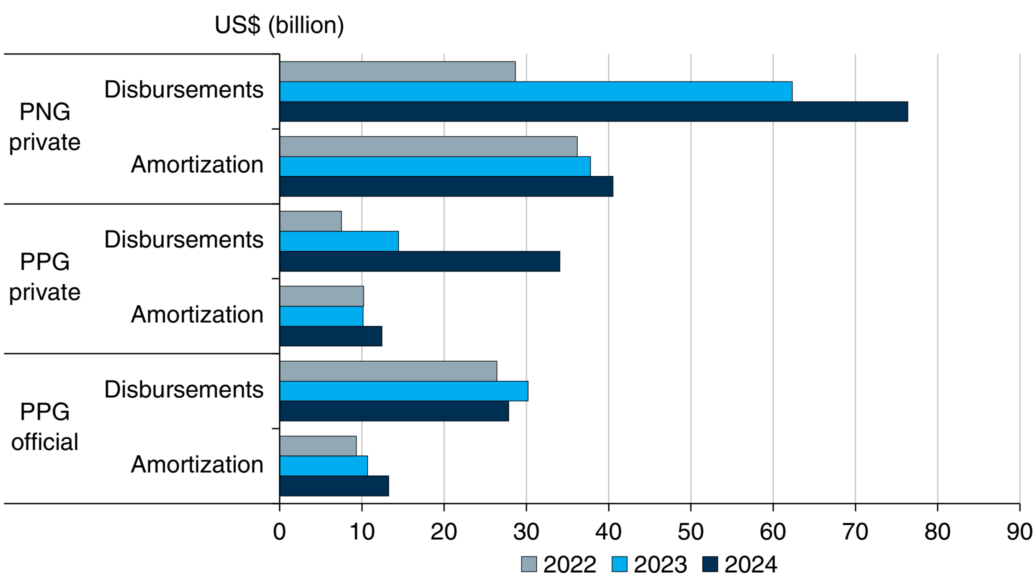
	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
External debt stocks	**542.1**	**568.7**	**551.6**	**622.5**	**641.7**	**691.6**	**710.2**	**778.4**	**787.5**	**826.7**	**896.0**
as % of GNI	23.5	23.7	20.7	20.4	20.4	20.9	22.5	21.0	20.2	19.8	20.0
Net debt inflows	**47.8**	**30.4**	**−15.1**	**64.5**	**22.1**	**49.8**	**12.7**	**53.3**	**19.8**	**40.4**	**83.5**
Official creditors	4.3	3.4	5.5	7.7	11.1	10.0	19.2	16.2	17.1	19.5	14.6
Bilateral	2.5	1.3	2.6	4.2	6.0	4.1	7.1	8.0	9.6	9.0	6.5
Multilateral	1.8	2.1	2.9	3.5	5.1	6.0	12.1	8.2	7.6	10.5	8.1
Private creditors	49.5	28.2	−23.9	39.7	6.3	35.7	−4.4	18.6	−10.2	28.8	57.5
Long-term	53.8	31.6	−18.5	47.4	17.4	45.7	14.8	34.8	6.9	48.4	72.1
Public and publicly guaranteed	37.9	14.8	−3.2	34.3	7.8	20.5	7.6	26.4	14.4	23.8	36.2
Private nonguaranteed	16.0	16.8	−15.3	13.1	9.6	25.2	7.2	8.4	−7.5	24.5	35.9
Short-term	−6.1	−1.2	3.3	17.1	4.7	4.1	−2.0	18.5	12.8	−7.9	11.4
Net debt transfers	**34.4**	**18.1**	**−27.9**	**49.8**	**1.7**	**30.2**	**−3.1**	**36.9**	**−1.6**	**5.2**	**43.4**
Official creditors	2.8	2.1	3.9	5.8	8.8	7.3	16.7	14.1	14.2	12.5	6.3
Bilateral	1.7	0.6	1.9	3.5	5.2	3.2	6.3	7.1	8.8	7.9	5.0
Multilateral	1.1	1.4	2.1	2.3	3.6	4.1	10.5	7.0	5.4	4.6	1.3
Private creditors	32.1	9.7	−10.6	24.8	−5.5	7.7	−13.3	7.4	−5.0	1.6	18.3
Long-term	41.7	20.6	−29.5	35.3	1.1	30.2	0.9	19.9	−10.6	21.8	41.9
Public and publicly guaranteed	34.9	11.8	−6.6	30.5	3.2	14.9	3.5	21.5	9.2	14.2	24.7
Private nonguaranteed	6.8	8.9	−22.8	4.8	−2.2	15.3	−2.6	−1.6	−19.8	7.7	17.2

Source: World Bank International Debt Statistics database.
Note: GNI = gross national income.

increase in bond issuance by the government and private entities, reflecting lower borrowing costs and rising investor demand aided by the inclusion of India in global bond indexes. From mid-2024 India was included in the J. P. Morgan Government Bond Index-Emerging Markets; in 2025, it was added to the FTSE Russell Emerging Markets Government Bond Index. Lending from financial institutions to Indian private sector entities also hit record levels in 2024. At end-2024, 77.3 percent of India's long-term external debt stock was owed to private creditors. In contrast, in other countries in the region, all classified as IDA-only borrowers, 76.5 percent was owed to official creditors.

Net debt inflows to the region rose 106 percent in 2024 to US$83.5 billion, the highest level of the decade, driven by a sharp increase in new long-term financing from private creditors to both public and private sector borrowers. Disbursements from private creditors of US$110.5 billion in 2024 were 95.5 percent higher than average disbursements of US$56.5 billion in 2022 and 2023. In contrast, principal payments to private creditors, US$52.9 billion in 2024, increased by only 12.3 percent over the same period (figure 1.26). Consequently, net long-term inflows from private creditors rose almost 100 percent in 2024 to US$57.5 billion, equivalent to 80 percent of long-term net debt inflows to the region and directed entirely to India. Other South Asian countries received only 20 percent of net long-term inflows to the region in 2024. These inflows all came from official creditors, and two-thirds of them were concessional financing from multilateral creditors.

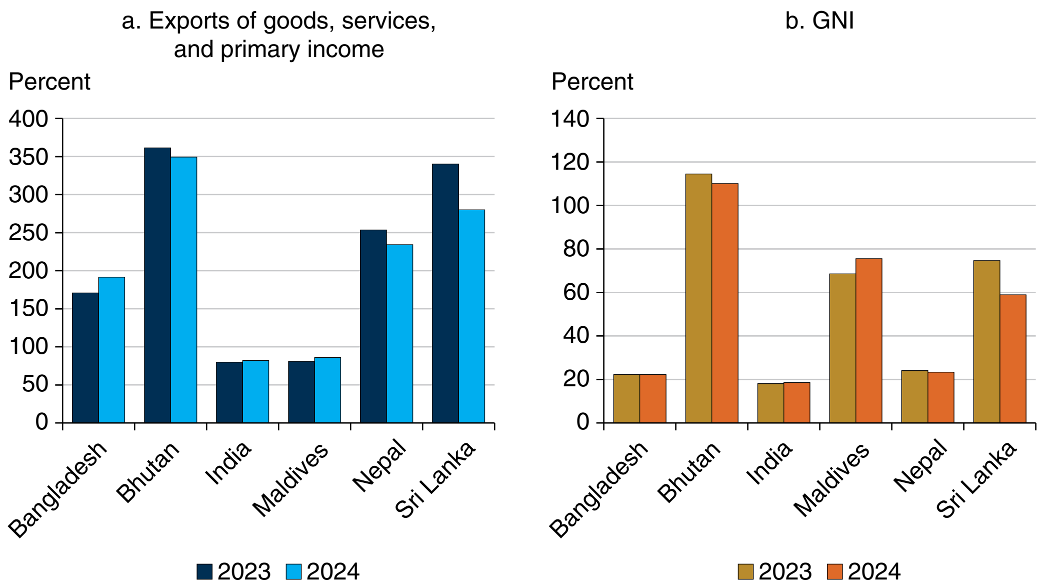
Figure 1.26 Net Inflows of Long-Term Public and Publicly Guaranteed and Private Nonguaranteed External Debt to South Asia, by Borrower Type, 2022–24



Source: World Bank International Debt Statistics database.
Note: PNG = private nonguaranteed; PPG = public and publicly guaranteed.

The ratio of external debt stock to GNI for the region, 20 percent in 2024, and the ratio of external debt stock to exports, 92.9 percent, worsened slightly over the comparable ratios for 2023. They also correlate to those for India—debt-to-GNI of 18.6 percent and debt-to-exports of 82.1 percent in 2024 (figure 1.27)—given the size of the Indian economy relative to other South Asian countries. Although debt indicators for the region as a whole are moderate for individual countries, they differ considerably in relation to both GNI and exports. Bhutan had the highest ratio of debt to GNI in 2024, 110.1 percent, followed by Maldives, 75.6 percent, and Sri Lanka, 58.9 percent. In Bhutan, the ratio of debt to exports was 349.3 percent, and in Sri Lanka it was 280.1 percent. The ratio of debt service to exports ranged from 9.2 percent in Maldives to 23.7 percent in Sri Lanka. Sri Lanka's rise in this ratio from 16.1 percent in 2023 reflects clearance of arrears to external creditors.

Figure 1.27 External Debt Stocks as a Share of Exports of Goods, Services, and Primary Income and GNI, South Asia, 2023 and 2024



Source: World Bank International Debt Statistics database.
Note: GNI = gross national income.

SUB-SAHARAN AFRICA

Net debt inflows almost tripled in 2024 to US$48.7 billion (table 1.8)—propelled by South Africa, which accounted for 21 percent of the region's net debt flows; net transfers of external public sector borrowers, excluding South Africa, rose 69.2 percent to US$15.6 billion in 2024.

The external debt stock of countries in the Sub-Saharan Africa region rose on average 3.4 percent in 2024, to US$900.8 billion, propelled by a 6.1 percent rise in the external debt stock of South Africa, which was driven by a 4.4 percent rise in long-term debt and 10.9 percent increase in short-term debt. The pace of external debt stock accumulation in countries in the region, excluding

Table 1.8 External Debt Stock and Net Financial Flows and Transfers, Sub-Saharan Africa, 2014–24

US$ (billion)

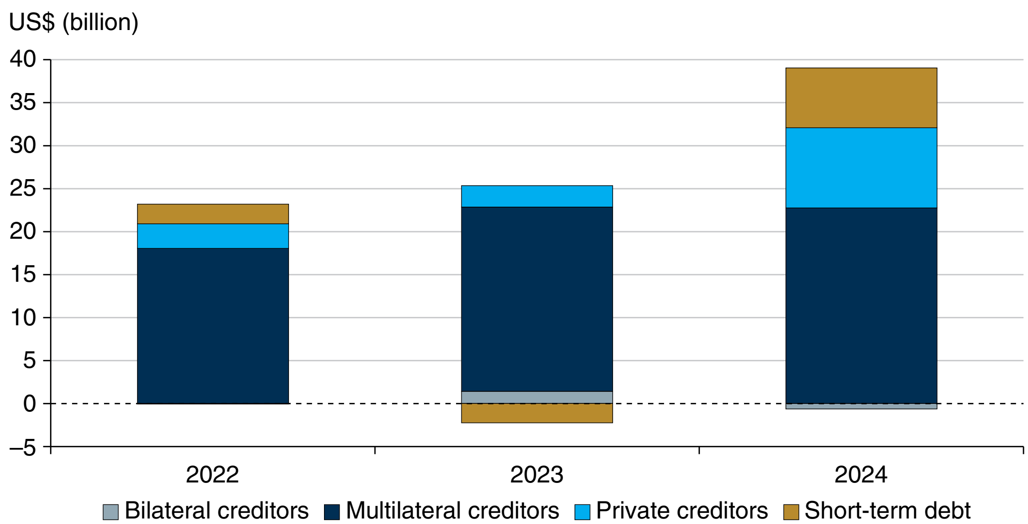
	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
External debt stocks	**512.7**	**517.0**	**562.5**	**657.4**	**701.8**	**752.6**	**793.8**	**836.4**	**850.4**	**871.0**	**900.8**
as % of GNI	28.7	32.3	38.1	41.1	40.8	42.4	47.2	44.6	42.4	46.1	49.5
Net debt inflows	**55.1**	**17.8**	**44.3**	**75.5**	**48.1**	**44.8**	**34.7**	**35.0**	**28.6**	**17.1**	**48.7**
Official creditors	18.3	17.8	14.2	20.5	22.1	21.1	35.0	20.1	19.3	22.9	22.0
Bilateral	9.9	9.2	6.4	7.7	10.4	5.5	4.0	3.1	0.4	1.5	–0.3
Multilateral	8.3	8.6	7.8	12.8	11.7	15.6	31.0	17.0	18.9	21.4	22.3
Private creditors	34.4	9.5	34.7	38.5	22.7	17.6	5.6	10.4	0.3	–2.8	15.2
Long-term	52.7	27.3	48.8	59.0	44.8	38.7	40.6	30.5	19.7	20.1	37.2
Public and publicly guaranteed	39.9	17.6	33.1	43.5	41.5	40.0	37.7	27.2	18.4	21.6	38.1
Private nonguaranteed	12.8	9.7	15.7	15.5	3.3	–1.4	2.9	3.3	1.3	–1.5	–1.0
Short-term	2.4	–9.5	–4.6	16.5	3.3	6.1	–6.0	4.5	8.9	–3.0	11.6
Net debt transfers	**43.7**	**3.7**	**28.1**	**58.6**	**26.7**	**21.6**	**13.3**	**14.1**	**4.0**	**–15.0**	**14.7**
Official creditors	16.3	15.4	11.3	17.5	18.5	16.5	30.8	15.0	14.6	15.2	12.9
Bilateral	8.9	7.9	4.6	6.0	8.4	3.0	2.1	1.7	–1.4	–0.9	–2.9
Multilateral	7.4	7.5	6.7	11.5	10.1	13.6	28.7	13.3	16.0	16.1	15.8
Private creditors	17.1	–5.5	12.5	16.9	10.6	9.4	–8.1	–3.1	–11.2	–13.0	3.8
Long-term	43.4	14.9	34.2	44.0	25.6	17.5	21.0	11.2	–1.7	–8.0	7.4
Public and publicly guaranteed	33.5	9.9	23.9	34.3	29.1	25.9	22.7	11.9	3.4	2.2	16.6
Private nonguaranteed	9.9	5.0	10.3	9.7	–3.5	–8.4	–1.8	–0.8	–5.1	–10.2	–9.2

Source: World Bank International Debt Statistics database.
Note: GNI = gross national income.

South Africa, continued to slow, rising on average just 2.8 percent in 2024, to US$724.9 billion, compared to a 3.9 percent increase in 2023 and an average increase of 4.8 percent in 2021 and 2022. The slowdown in the growth of external debt stocks in 2024 is in part explained by debt restructuring agreements with bondholders and other debt reorganizations implemented in 2024. The most significant of these were the up-front haircuts included in the debt restructuring agreements with bondholders for Ghana and Zambia, and implementation of debt forgiveness granted to Somalia in the context of the Heavily Indebted Poor Countries (HIPC) Initiative Completion Point reached in 2023. Taken together, these measures reduced end-2024 long-term debt stocks by US$5.0 billion.

Net debt inflows to countries in Sub-Saharan Africa, excluding South Africa, rose 66.1 percent in 2024 to US$38.3 billion (figure 1.28). This increase was accompanied by a marked change in borrowing patterns and creditor composition. Short-term debt inflows turned from an outflow of US$2.2 billion in 2023 to an inflow of US$6.9 billion in 2024, equivalent to 18 percent of total debt inflows. Long-term debt inflows rose 23.9 percent to US$31.3 billion, driven by inflows from bondholders of US$7 billion, as compared to an outflow of US$1.4 billion in 2023. This reversal reflects renewed access to international capital markets for countries like Benin, Côte d'Ivoire, and Kenya. Net inflows from multilateral creditors rose 6.1 percent in 2024 to US$22.7 billion, of which the World Bank accounted for 63.5 percent. Bilateral creditors recorded an outflow of US$0.7 billion.

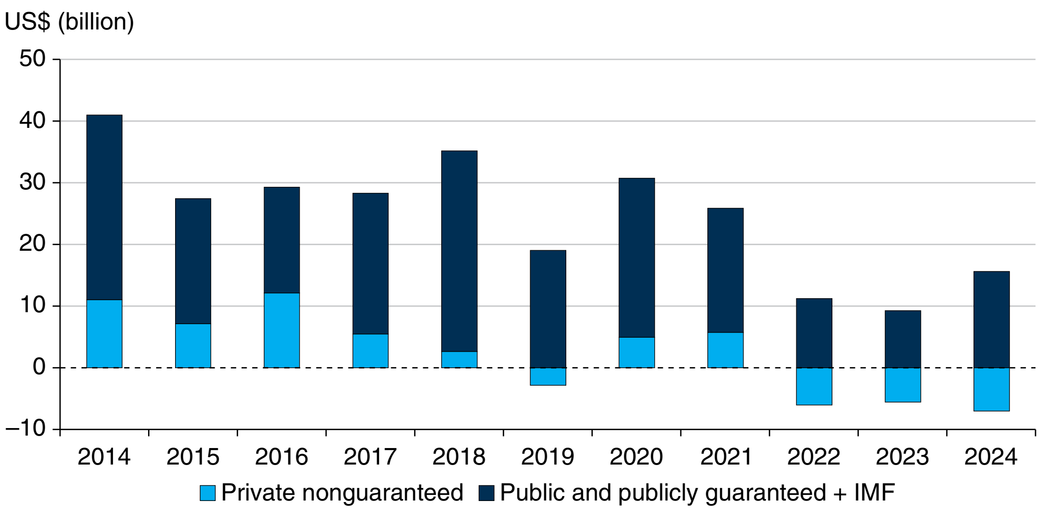
Figure 1.28 Net Debt Flows to Sub-Saharan Africa (Excluding South Africa), by Creditor Type, 2022–24



Source: World Bank International Debt Statistics database.

Net transfers of external public debt to the region, excluding South Africa, rose to US$13.1 billion in 2024, from US$7.8 billion in 2023 (figure 1.29). The primary reason for this rebound was increased disbursements to public sector entities, which rose 20.5 percent to US$54.6 billion, compared to a much smaller, 13.2 percent increase in debt service payments to US$47.2 billion. The rise in disbursements was driven by an 80.1 percent increase in those from private creditors, notably from bond issuance in international capital markets. Consequently, the net transfer from private creditors turned positive in 2024 to an inflow of US$1.4 billion, from the prior year outflow of US$7 billion. Net transfers from official creditors, US$14.2 billion in 2024, equivalent to 91 percent of total net transfers on external public debt, remained the primary source of financing.

Figure 1.29 Net Transfers to Sub-Saharan Africa (Excluding South Africa), by Borrower Type, 2014–24



Source: World Bank International Debt Statistics database.
Note: IMF = International Monetary Fund.

Debt Restructuring, 2024

This section presents an overview of debt reorganization by LMICs in 2024 and outcomes against the backdrop of slower global growth, high real interest rates, increased trade restrictions and heightened uncertainty, and real and acute concerns about sovereign defaults.

In 2024, debt reorganization by LMICs reached its highest level since 2010. Close to US$90 billion was reorganized, of which about 58 percent was due to agreements with IDA-eligible countries. The debt reorganization took several forms, including restructuring agreements in the Group of Twenty (G-20) Common Framework and other international forums, and with private creditors, notably bondholders. In addition, outright debt forgiveness and several debt swaps occurred. LMICs, including several IDA-eligible countries, also took advantage of improved market conditions to reprofile the public debt portfolio through new bond issuance in international capital markets or borrowing from private creditors to refinance more costly loans, including with support from multilateral institutions.

Debt Restructuring Agreements

A significant development in 2024 was the accelerated pace of debt restructuring in the G-20 Common Framework. Following their agreement with Zambia in 2023, bilateral creditors concluded an agreement with Ghana in January 2024. Both countries reached agreement with bondholders in 2024. In addition, Ethiopia, which was granted a debt service suspension under the framework for 2023–24, secured a new IMF-supported program in July 2024. This program led to an agreement in principle with the Official Creditor Committee in March 2025 that rescheduled over US$8 billion in bilateral claims with an estimated US$3.5 billion in debt relief and paves the way for restructuring with bondholders and other private creditors.

Zambia concluded the Eurobond exchange in May of 2024, restructuring US$3.9 billion, including US$3 billion outstanding on its three sovereign bonds and US$890 million of past due interest. The bonds were exchanged for two new bonds with a combined value of US$3.05 billion, and US$840 million of past due interest was forgiven, providing a 40 percent reduction in present value terms in the baseline scenario. The agreement includes an upside case treatment that accelerates the amortizations and increases the interest rate if the Zambian economy performs better than projected under the IMF program.

Ghana followed its successful Domestic Debt Exchange Program in 2023 with an agreement on a comprehensive restructuring of external obligations to bilateral creditors in January 2024. The agreement, formalized by Paris Club creditors in a Memorandum of Understanding of June 11, 2024, rescheduled about US$5.4 billion in debt service falling due in December 2022, and that due during the January 1, 2023, to December 31, 2026, period. It extended the weighted average maturity from 2029 to 2038 and reduced interest rates, commensurate with the contractual interest rate of each claim. The agreement with bilateral creditors paved the way for the one with bondholders in October 2024, which restructured US$13.0 billion on 15 separate issues. The old bonds were exchanged for five new bonds totaling US$9.4 billion. The up-front haircut of US$3.5 billion, coupled with extended maturities and lower coupon (interest rate) on the new bonds, delivered an overall reduction of 37 percent in present value terms.

Outside the Common Framework, **Sri Lanka** restructured about US$26 billion with external creditors in 2024, including US$10.3 billion with bilateral creditors, of which US$4 billion was owed to China Eximbank; US$14.2 billion with bondholders, including overdue interest; and US$2.2 billion with private creditors, specifically the China Development Bank.[4] In addition, the domestic debt program restructured another US$9.9 billion. The agreement with bilateral creditors included a four-year grace period, an extension of maturities to 2043, and a reduction in interest rates. Bondholders agreed to an up-front US$3 billion haircut, extended maturities, and lower coupon (interest rate). The new bonds, tied to macroeconomic and governance performance, allow for a reduction in the concessions offered by bondholders if the Sri Lankan economy outperforms IMF program targets.

The Paris Club signed a Memorandum of Understanding with **Suriname** in October 2024 to implement the second phase of the 2022 agreement. It restructured US$88 million in end-2024 debt stock owed to France, Israel, Italy, and the Netherlands. Concessional loans will be repaid over 17 years including 4 years of grace, and nonconcessional loans will be repaid over 12 years including 5 years of grace.

Two of the world's poorest countries, **Haiti** and **Somalia,** benefited from debt forgiveness of US$6.2 billion from official creditors following Somalia's attainment of the HIPC Completion Point in late 2023, the first country to do so since 2015, and forgiveness of Haiti's oil-related debt by República Bolivariana de Venezuela.

Haiti's US$2.2 billion oil-related obligations to República Bolivariana de Venezuela under the Petrocaribe program were extinguished, with US$500 million settled by Haiti from funds previously paid into a blocked account and US$1.7 billion written off by República Bolivariana de Venezuela.

Petrocaribe—an oil alliance established by República Bolivariana de Venezuela in 2005 to provide member countries in the Caribbean and Central America with oil on concessionary financial terms, including long-term payment options at low interest rates—provided energy security for participating countries and served to strengthen República Bolivariana de Venezuela's geopolitical influence in the region. In recent years, however, the program has largely collapsed because of the decline in República Bolivariana de Venezuela's oil production and the country's turbulent political situation.

Somalia reached the HIPC Completion Point in December 2023, with total debt service savings of US$4.5 billion, of which US$1.5 billion came from multilateral creditors, including US$448.5 million from the World Bank (IDA) and US$343 million from the IMF. In their Memorandum of Understanding of March 2024, Paris Club creditors canceled US$1.2 billion and confirmed their willingness to forgive a further US$815 million on a voluntary, bilateral basis.

Turning to middle-income countries, the bond restructuring for **Ukraine** in September 2024 was the largest among LMICs aside from that of Argentina in 2021. It followed the two-year repayment deferral implemented in 2022 and restructured about US$24 billion, including US$3.5 billion of accrued interest. The agreement, which covers sovereign bonds and sovereign-guaranteed bonds of the State Agency for Restoration and Development of Infrastructure, canceled about US$9 billion; it included an up-front haircut that reduced immediate debt service payments by 93 percent and provided a significant extension of maturities and reduction in coupon (interest) rates. It was implemented through an exchange of existing bonds for eight new bonds totaling US$15.2 billion: four Step-Up A bonds with an interest rate of 1.75 percent starting in 2025 and increasing to 7.75 percent after 2034, and four Step-Up B bonds with an interest rate of 7 percent beginning in 2027 and gradually increasing to 7.75 percent after 2034. The agreement provides for an increase in the principal amount of each series in February 2030 if the Ukrainian economy outperforms IMF expectations, which allows bondholders to recoup 12 percent of the principal haircut provided by the restructuring agreement.

The G-20 Common Framework: Recent Developments

Since its creation in 2020, the G-20 Common Framework has served as the coordinating mechanism for the provision of comprehensive debt restructuring for low-income IDA-eligible countries. It brings together all G-20 bilateral creditors and coordinates with private creditor groups to provide a debt treatment, tailored to each borrower's debt structure, that will restore medium-term debt sustainability. As discussed in the previous section, 2024 saw the delivery of concrete results for Ghana and Zambia, and acceleration of the restructuring process for Ethiopia. This progress reflects a continuous effort on the part of G-20 creditors and their key international partners to strengthen the Common Framework, streamline the restructuring process, and enhance creditor coordination.

In early 2024 the IMF, World Bank, and Presidency of the Group of Twenty set up the Global Sovereign Debt Roundtable (GSDR) to serve as a forum for creditor dialogue, among and across creditor groups, and to foster consensus on key technical questions such as comparability of treatment, as well as challenging issues that arise during the restructuring process. The GSDR has helped overcome disagreement, enhanced information sharing, and speeded decision-making as reflected in the accelerated pace of the agreement with Ghana. That agreement was completed in half the time of the prior ones with Chad and Zambia. Additionally, in April 2025, the IMF adopted important reforms to its debt policies that will facilitate faster engagement with the borrower, a critical improvement because delays are likely to exacerbate a debt crisis. The reforms cut the approval time for an IMF program (a prerequisite for the debt restructuring), created new procedures for financing assurances aimed at providing greater flexibility, and laid the groundwork for a smoother, faster process in the future.

Consensus reached by the GSDR on key technical issues is now available in a one-stop Compendium of Common Understanding on Technical Issues, which covers several important topics of key concern to debtors, including comparability of treatment, anticipated timelines for the restructuring process, and how to approach domestic debt restructuring. Creditors recognize the need, however, to strengthen the predictability and timeliness of the restructuring process, and to address some other important issues. These issues include (a) accelerating the restructuring of debt owed to commercial creditors, other than bondholders; (b) incentivizing parallel rather than sequential negotiation when it accords with the debtor's strategy; (c) galvanizing support for early post-restructuring credit rating upgrades; and (d) tackling the complex topic of restructuring collateralized claims, or commercial loans backed by export credit agencies.

There is also a need to strengthen debt transparency, including restructuring outcomes. In this context, early and continuous information sharing between the debtor, creditors or creditor groups (Official Creditor Committee, bondholders' committees, and so on), and the IMF and World Bank is seen as a key factor in a timely and efficient restructuring process. Participants in the GSDR have also reaffirmed support for a debtor-convened meeting of all official bilateral and private creditors early in the restructuring process to explain the context and goals of the restructuring, and for further engagements, as appropriate, to facilitate information sharing as the process advances. Such meetings would also provide an opportunity for the IMF and the World Bank to share information on the macroeconomic framework and debt sustainability analysis, consistent with policies on information sharing, and to explain their policy frameworks, including with regard to IMF debt and financing assurances policies and World Bank requirements for providing financing through budget support operations.

Debt Swaps

Debt swaps continued to serve as an important liability management tool for LMICs in 2024. Debt-for-development swaps, a subcategory of debt swaps, reduce external debt obligations or lower financing in return for a commitment from borrowers to use the savings to fund investment in development projects, expenditures in the social sector, or measures to protect the natural environment and mitigate the impact of climate change. In 2024, seven countries implemented a debt swap agreement: Côte d'Ivoire, Ecuador, Egypt, El Salvador, Indonesia, Kenya, and Mongolia. Collectively these swaps unlocked over US$12 billion in financing to support various sectors, including the natural environment, education, and health. The swaps encompassed debt owed to bilateral creditors, market-based operations, and an innovative refinancing-cum-swap agreement pioneered by the World Bank and supported by an IBRD policy-based guarantee that combined improving debt sustainability management and support for a country's development and investment in human capital (box 1.5).

By far the largest of the 2024 swap operations was the swap concluded between Egypt and the United Arab Emirates. Under the agreement, the United Arab Emirates converted US$11 billion of the outstanding term deposits it had extended to Egypt to equity investment as part of a US$35 billion investment package to develop Egypt's Ras El-Hekma peninsula. The US$11 billion subject to conversion to equity comprised US$5.65 billion in medium-term deposits and US$5.35 billion in short-term deposits.[5]

In LAC, Ecuador and El Salvador implemented debt-for-climate swaps. Ecuador followed its successful 2023 swap to conserve the Galapagos with a similar operation in 2024 aimed at preservation of the Ecuadorian Amazon. Supported by a loan from the Amazon Conservation Designated Activity Company, Ecuador paid US$1 billion, or on average 35 cents on the dollar, to buy back US$1.527 billion of its sovereign bonds, thereby realizing an immediate reduction in its external obligations of US$527 million, plus savings in future interest costs. El Salvador's debt-for-nature swap, its first, which aimed at conservation of the Rio Lempa watershed, was financed by a US$1 billion loan from J. P. Morgan. The par value and secondary market price of El Salvador's sovereign bonds closely aligned, and it paid US$1 billion to buy back bonds valued at US$1.031 billion. However, after taking account of the more advantageous terms on the loan from J. P. Morgan and interest savings on the sovereign bonds bought back, El Salvador expects the debt swap to generate overall savings of about US$352 million for conservation of the Rio Lempa watershed.

With regard to bilateral creditors, in 2024, Germany—a leading and long-time supporter of the Global Fund's Debt2Health program—signed swap agreements with Indonesia and Mongolia to convert €75 million and €29 million, respectively, of its concessional bilateral claims into public health investments. Under these arrangements external debt is swapped for local currency and the creditor, in this case Germany, forgoes debt service payments in euros in return for a commitment from the borrower to invest the equivalent amount in local currency in agreed health service projects. Germany also concluded a €60 million debt-for-climate swap with Kenya that operates in the same way as the health projects but in this case in return for a commitment to invest in climate and renewable energy projects.

Box 1.5 Côte d'Ivoire: World Bank–Supported Debt-for-Development Swap

In December 2024, Côte d'Ivoire announced a debt-for-development swap designed to improve the public debt profile and free up resources for investment in education. This innovative debt swap-cum-liability management operation, facilitated by the World Bank, is the first of its kind to explicitly combine improving debt sustainability management and supporting a country's development objectives and investment in human capital. A €240 million policy-based guarantee (PBG) extended by the World Bank's International Bank for Reconstruction and Development is designed to enable Côte d'Ivoire to access long-term commercial financing in euros on more favorable terms. It will be used to redeem the equivalent amount of the country's costly external debt obligations to private creditors, thereby freeing resources for development initiatives. The PBG serves to lower borrowing costs and provide protection to commercial lenders in the event of nonpayment of debt service by Côte d'Ivoire.

The swap-cum-liability management operation is part of the World Bank's €800 million Third Investment for Growth Development Policy Financing loan approved in December 2024. It includes, in addition to the €240 million PBG, a €260 million guarantee to support a sustainability-linked commercial bank loan to finance Côte d'Ivoire's green transition, and €300 million in direct budget support.

The new €400 million loan extended at end-December 2024 to implement the debt-for-development swap, supported by the PBG at 60 percent coverage, has

(Box continues on next page)

Box 1.5 Côte d'Ivoire: World Bank–Supported Debt-for-Development Swap (*continued*)

a 15-year maturity, including a 7-year grace period. The buyback targets external commercial loans maturing between 2029 and 2033 carrying variable interest rates, with a current annual cost as high as 8 percent. Refinancing these loans with the new loan from MFUG Bank is expected to free up about €330 million in debt service payments in the near term and realize an overall net debt reduction of about €60 million. These fiscal savings will provide the incentive for the authorities to meet the increased target of a World Bank Program for Results, notably by building 30 new primary schools benefiting some 30,000 children.

Tangible benefits in terms of debt service savings and improved fiscal space are important given the challenging external financing conditions facing LMICs. Côte d'Ivoire has market access, but the buyback allows it to further improve its public debt profile, to solidify the downward trajectory in the volume of outstanding public debt, and to smooth the future debt service curve. Additionally, unlike other commercial debt-for-climate swaps which required high legal and transaction costs, this debt-for-development operation is implemented by the government of Côte d'Ivoire, which not only eliminated costly overheads but also signals confidence in the capacity and integrity of the country's administrative processes.

2. Debt Dynamics: Policy Implications and Future Outlook

Debt Dynamics: Policy Implications

Over the past decade, debt accumulation in developing economies has become increasingly disconnected from economic growth. In many countries, recent trends may reflect short-term stabilization needs rather than growth-oriented investment, particularly in low-income countries (LICs) where official financing plays a countercyclical role. External debt has grown faster than exports, while slowing trade, tighter financial conditions, and policy uncertainties have further constrained fiscal space. In several cases, rising debt service costs are absorbing a growing share of public revenues, potentially decreasing spending on health, education, and infrastructure—and eroding prospects for inclusive growth. High external debt burdens are also associated with broader systemic fragility, because countries with weaker institutions and limited resilience face elevated vulnerability and reduced fiscal flexibility.

Current Debt-Growth Dynamics

Regional averages reveal a divergence between real gross domestic product (GDP) growth and external debt burden dynamics over the past decade, particularly after the COVID-19 pandemic (IMF 2024, chapter 1). Figure 2.1 tracks regional trends from 2015 to 2024, comparing real GDP growth with year-on-year percentage growth in total external debt for 119 countries. Before 2020, most regions experienced steady GDP growth alongside accelerating external debt accumulation. The COVID-19 crisis disrupted that balance: growth weakened across nearly all regions in 2019 and contracted sharply in 2020. Although output rebounded in 2021, recovery has remained uneven. External debt stocks rose markedly during 2020 and 2021 in regions such as East Asia and Pacific, Europe and Central Asia, and South Asia, but the growth has since declined in most regions. Sub-Saharan Africa stands out as an exception; both debt levels and servicing burdens have continued to rise even as growth remains subdued, underscoring persistent fiscal stress and limited progress in debt reduction (World Bank 2024).